CITY OF ALBANY
CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE "R"
INCREASING THE CITY'S BUSINESS LICENSE TAX RATES, BASING THOSE RATES UPON FLAT RATES AND GROSS RECEIPTS INSTEAD OF NUMBER OF EMPLOYEES AND UPDATING THE CITY'S TAX COLLECTION AND ADMINISTRATIVE PROCEDURES

The City of Albany has a business license tax for engaging in a business within the City. The current annual tax is based upon flat rates or average number of business employees. The business license tax is a general tax. Revenues are deposited into the General Fund and may be spent for any City expense, like fire protection, public safety, environmental and community service programs.

On July 20, 2026, the City Council voted to place Measure "R" on the November 3, 2026 General Municipal Election ballot. If approved by majority (50%+1) of Albany voters, this Measure would revise the City's annual business license tax to be based upon either flat rates or gross receipts, instead of number of employees. For each business classification, the maximum rates would be the following:

- Residential property rental: $120 per rental unit.
- General retail business:
  - $50 for businesses with up to $50,000 in gross receipts;
  - $200 for businesses with gross receipts more than $50,000 but less than or equal to $200,000; and
  - $1 per $1,000 of gross receipts above $200,000.
- Commercial property rental, contractor, professional and non-professional service, and any other business not classified:
  - $50 for businesses with up to $50,000 in gross receipts;
  - $200 for businesses with gross receipts more than $50,000 but less than or equal to $200,000; and
  - $5 per $1,000 of gross receipts above $200,000.

The maximum flat rates and flat gross receipt thresholds above would be annually adjusted by the Consumer Price Index (CPI) subject to a 3% annual cap. However, the maximum rates per $1,000 in gross receipts would not be so adjusted. The Council may levy the tax at a lower rate in any year and restore it back to a prior rate, provided the maximum voter-approved rates above aren't exceeded.

The Measure would continue to exempt qualifying charitable, religious, government and educational organizations from the tax.

The Measure also updates the City's tax collection and administrative procedures. This includes updating definitions, license application, review, denial, approval, renewal and transfer procedures, tax calculation formulas, and tax deficiency, credit, refund and appeal procedures.

This tax is estimated to generate an additional $600,000 annually. The new rates would become effective on January 1, 2027 and remain in effect until repealed by voters at a subsequent election. The purposes for this tax would not change, remaining a general tax that may fund any valid City purpose, like those identified above.

A "yes" vote on Measure "R" will approve this amendment to the City's business license tax code.

A "no" vote on Measure "R" will not approve this amendment to the City's business license tax code.

The above statement is an impartial analysis of Measure "R". If you desire a copy of the Measure, please call the Office of the City Clerk at (510) 528-5710 and a copy will be mailed at no cost to you.

/s/ Malathy Subramanian
City Attorney